

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 844

BY HEALTH AND WELFARE COMMITTEE

AN ACT

RELATING TO HEALTH INSURANCE; AMENDING SECTION 41-5207, IDAHO CODE, TO
REVISE A PROVISION REGARDING RENEWAL OF ENHANCED SHORT-TERM PLANS;
AMENDING SECTION 41-5214, IDAHO CODE, TO REVISE PROVISIONS REGARDING
REQUIREMENTS FOR ENHANCED SHORT-TERM PLANS; AND DECLARING AN EMERGENCY
AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 41-5207, Idaho Code, be, and the same is hereby
amended to read as follows:

41-5207. RENEWABILITY OF COVERAGE. (1) A health benefit plan subject
to the provisions of this chapter shall be renewable with respect to the in-
dividual or dependents, at the option of the individual, except in any of the
following cases:

(a) Nonpayment of the required premiums;

(b) Fraud or intentional misrepresentation of material fact by the in-
dividual insured or his representatives. An individual whose coverage
is terminated for fraud or misrepresentation shall not be deemed to be
an "eligible individual" for a period of twelve (12) months from the ef-
fective date of the termination of the individual's coverage and shall
not be deemed to have "qualifying previous coverage" under chapter 22,
47 or 52, title 41, Idaho Code;

(c) The individual ceases to be an eligible individual as defined in
section 41-5203(10), Idaho Code;

(d) In the case of health benefit plans that are made available in the
individual market only through one (1) or more associations, as defined
in section 41-2202, Idaho Code, the membership of an individual in the
association, on the basis of which the coverage is provided ceases, but
only if the coverage is terminated under this paragraph uniformly with-
out regard to any health status-related factor relating to any covered
individual;

(e) The individual carrier elects, at the time of coverage renewal, to
discontinue offering a particular health benefit plan delivered or is-
sued for delivery to individuals in this state. Unless otherwise au-
thorized in advance by the department of insurance, a carrier may dis-
continue a product only after the product has been in use for at least
thirty-six (36) consecutive months, provided the carrier may not dis-
continue more than fifteen percent (15%) of its total number of individ-
uals and dependents in all lines of business regulated by this chapter
in a twelve (12) month period. The carrier shall:

(i) Provide advance written or electronic notice of its decision
under this paragraph to the director;

(ii) Provide notice of the discontinuation to all affected individuals at least ninety (90) calendar days prior to the date the particular health benefit plan will be discontinued by the carrier, provided that notice to the director under the provisions of this paragraph shall be provided at least fourteen (14) calendar days prior to the notice to the affected individuals;

(iii) Offer to each affected individual, on a guaranteed issue basis, the option to purchase all other health benefit plans currently being offered by the carrier to individuals in this state;

(iv) Act uniformly without regard to any health status-related factor of an affected individual or dependent of an affected individual who may become eligible for the coverage; and

(v) Offer the new products at rates that comply with section 41-5206(1)(b), Idaho Code.

(f) The individual carrier elects to nonrenew all of its health benefit plans delivered or issued for delivery to individuals in this state. In such a case the carrier shall:

(i) Provide advance notice of its decision under this paragraph to the director; and

(ii) Provide notice of the decision not to renew coverage to all affected individuals and to the director at least one hundred eighty (180) calendar days prior to the nonrenewal of any health benefit plans by the carrier. Notice to the director under the provisions of this paragraph shall be provided at least three (3) working days prior to the notice to the affected individuals;

(g) The director finds that the continuation of the coverage would:

(i) Not be in the best interests of the policyholders or certificate holders; or

(ii) Impair the carrier's ability to meet its contractual obligations.

In such instance, the director shall assist affected individuals in finding replacement coverage; or

(h) ~~The plan is an enhanced short-term plan that has reached the limit of renewability established in rules issued by the director and the individual carrier offers the individual the opportunity to reapply for coverage in accordance with the rules issued by the director, renewability for which is governed by the provisions of section 41-5214, Idaho Code.~~

(2) An individual carrier that elects not to renew a health benefit plan under the provisions of subsection (1)(f) of this section shall be prohibited from writing new business in the individual market in this state for a period of five (5) years from the date of notice to the director.

(3) In the case of an individual carrier doing business in one (1) established geographic service area of the state, the rules set forth in this section shall apply only to the carrier's operations in that service area.

SECTION 2. That Section 41-5214, Idaho Code, be, and the same is hereby amended to read as follows:

41-5214. ENHANCED SHORT-TERM PLANS. (1) A carrier may allow enrollment in enhanced short-term plans:

1 (a) On a year-round basis, at any point in the calendar year;

2 (b) During an annual open enrollment period; or

3 (c) During a special enrollment period.

4 (2) The director shall adopt reasonable rules to establish specific
 5 standards for enhanced short-term plans. The standards shall be in addi-
 6 tion to and in accordance with applicable laws of this state, including this
 7 chapter. The Notwithstanding any provision of law or federal waiver to the
 8 contrary, the standards:

9 ~~(1) Shall include requirements for renewability that are consistent~~
 10 ~~with federal law regarding short-term, limited duration insurance; and~~

11 (a) Shall not be more restrictive than the requirements established in
 12 this section;

13 (b) Shall provide that the maximum duration of an enhanced short-term
 14 plan shall be the greater of twelve (12) consecutive months or the maxi-
 15 mum duration described in 45 CFR 144 or its succeeding regulation;

16 (c) Shall provide that enhanced short-term plans may be eligible for
 17 renewal for a maximum total duration that is the greater of thirty-six
 18 (36) months or the maximum duration described in 45 CFR 144 or its suc-
 19 ceeding regulation; and

20 ~~(2) (d) May include, but need not be limited to:~~

21 ~~(a) (i) A scope of covered benefits, which may be as broad as the~~
 22 ~~scope of covered benefits required to be included in individual~~
 23 ~~health benefit plans that are not deemed short-term, limited dura-~~
 24 ~~tion insurance under federal law; provided, however, the director~~
 25 ~~may not establish minimum standards for covered benefits in en-~~
 26 ~~hanced short-term plans;~~

27 ~~(b) (ii) Restrictions on premium rate increases when an enhanced~~
 28 ~~short-term plan ceases to be renewable and the individual policy-~~
 29 ~~holder reapplies for coverage from the same carrier; and~~

30 ~~(c) (iii) Conversion of enhanced short-term plans into fully re-~~
 31 ~~newable coverage upon a finding by the director that the conver-~~
 32 ~~sion complies with law and is in the best interests of the public.~~

33 (3) Enhanced short-term plans shall not be subject to the rating re-
 34 quirements established in section 41-5206, Idaho Code.

35 SECTION 3. An emergency existing therefor, which emergency is hereby
 36 declared to exist, this act shall be in full force and effect on and after
 37 July 1, 2026.